# Scarcity and Resource Allocation

## AP Microeconomics · Unit 1 · Session 01

AP Microeconomics

Unit 1 · Session 01

# A fixed resource forces a choice

*A town has a fixed amount of land, labor, and time.*

It chooses to produce more school meals.

What must happen to another use?

# A fixed resource forces a choice

**Today we will answer**

How does scarcity create a choice, a trade-off, and an opportunity cost?

- identify the scarce resource;
- explain the allocation decision;
- name the best alternative given up.

# Official targets for Session 01

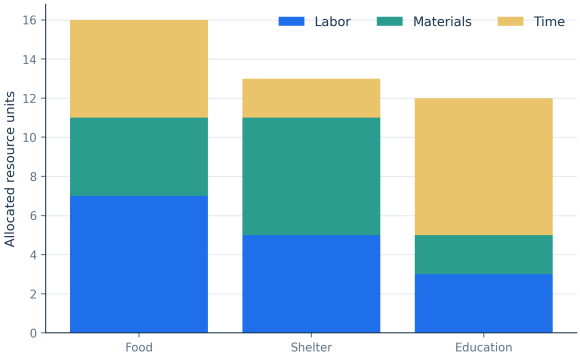
## By the end of the lesson

I can connect a limited resource to a specific choice and a specific foregone alternative.

- Define resources and explain why **scarcity creates trade-offs**.
- Answer **what, how, and for whom**.
- Compare **market, command, and mixed systems**.
- Explain **opportunity cost** as the best alternative given up.

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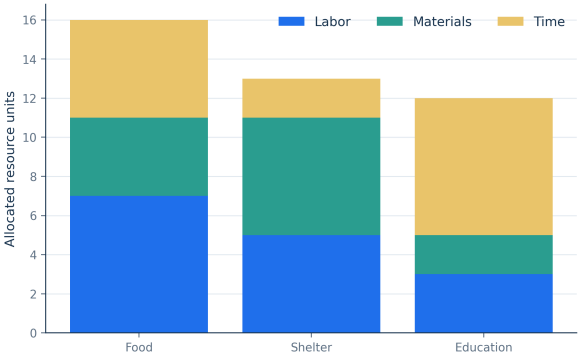
# Scarcity turns resources into trade-offs




**Look first.**

What resources appear limited?

# Scarcity turns resources into trade-offs

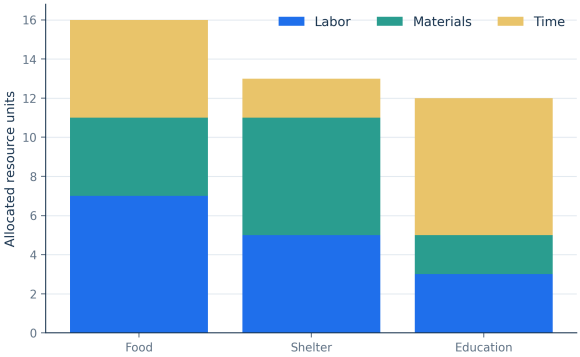



## Three constraints

- labor
- materials
- time

Each input has competing uses.

# Scarcity turns resources into trade-offs




## Conclusion

Desired uses exceed available resources.Every decision creates an **economic trade-off**.

# Scarcity

Resources are limited relative to desired uses.

# Choice

A decision-maker selects one use for a scarce resource.

**Opportunity cost**

The value of the best alternative given up.

# Every economic system answers three questions

**What?**

Which goods or
services will be made?

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Who will receive the output?

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**What?**

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## Why all three matter

Fixed staff, time, and building capacity make all three questions unavoidable.

# Economic systems coordinate scarce resources

*A system is a way of coordinating choices.*

# Economic systems coordinate scarce resources

**Market**

Prices, incentives, and voluntary exchange guide decisions.

# Economic systems coordinate scarce resources

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**Command**

Central planning and administrative direction guide decisions.

# Economic systems coordinate scarce resources

**Market**

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**Command**

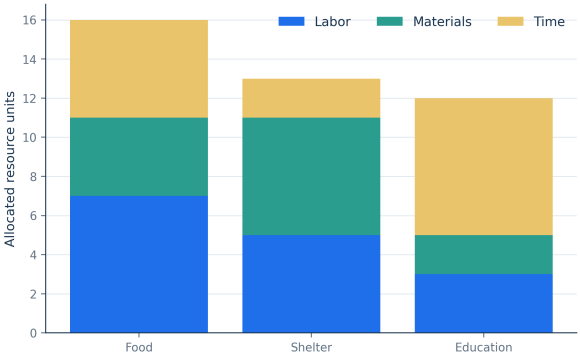
Central planning and administrative direction guide decisions.

**Mixed**

Markets operate alongside public rules or provision.

The coordinating mechanism changes; scarcity remains.

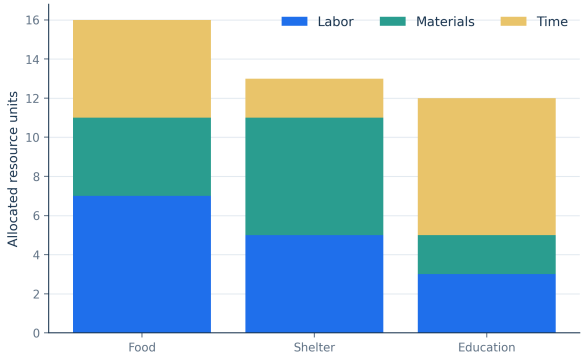
# A resource bundle can support competing uses




**Read the bars.**

Which use receives the scarce bundle?

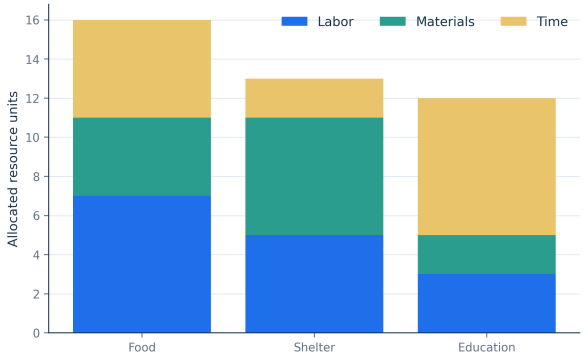
# A resource bundle can support competing uses




**Name the constraints.**

- labor
- materials
- time

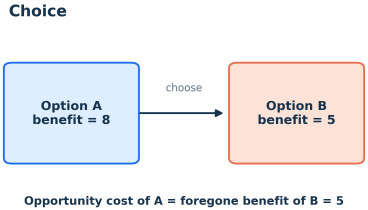
# A resource bundle can support competing uses




## Trade-off

More of one use requires less of another when the bundle is fixed.

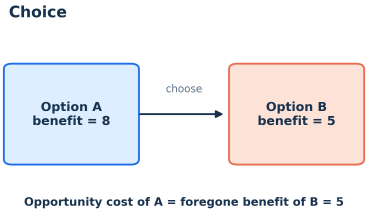
# Opportunity cost names the benefit left behind




## Choice

The decision-maker chooses A.

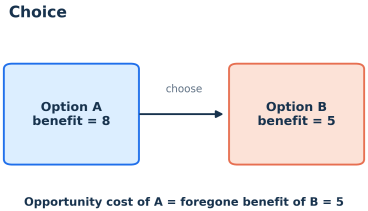
# Opportunity cost names the benefit left behind




## What is given up?

The next-best alternative is B.

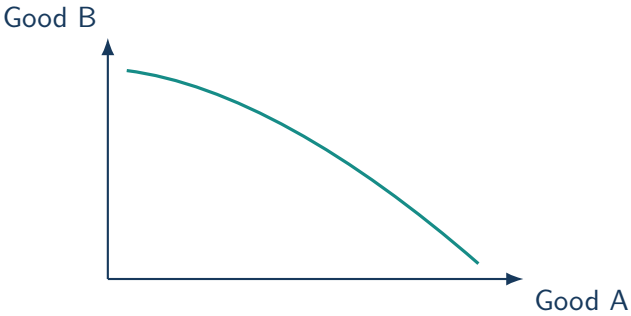
# Opportunity cost names the benefit left behind




## Opportunity cost

The benefit from B is the opportunity cost of choosing A.

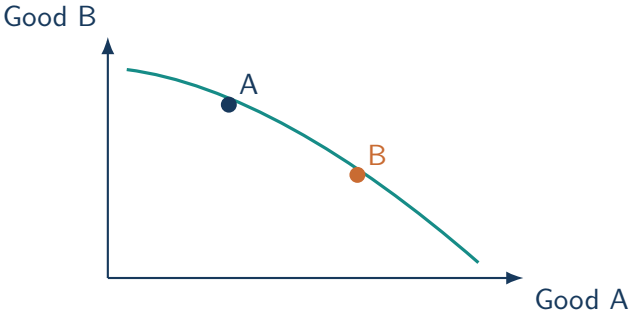
# A movement along a boundary shows a trade-off




**Start with the boundary.**

It shows feasible combinations of two goods.

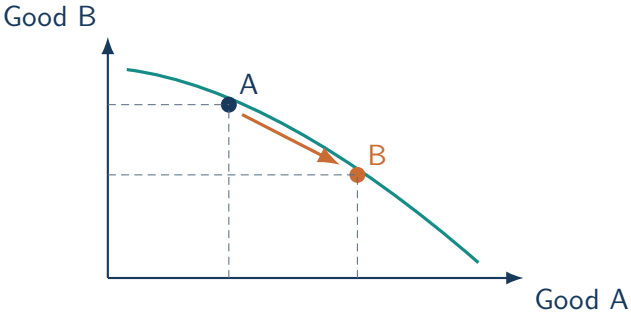
# A movement along a boundary shows a trade-off




**Compare A and B.**

Both points lie on the same boundary.

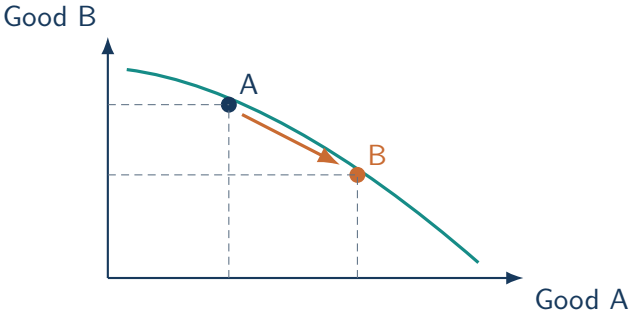
# A movement along a boundary shows a trade-off




**Project to the axes.**

Good A rises while Good B falls.

# A movement along a boundary shows a trade-off




**Trade-off**

Moving from A to B gives up Good B.

# AP transfer: identify the scarce resource

One empty classroom must serve either a tutoring center or a rehearsal room. Which statement is most accurate?

1. Scarcity exists only if the school charges rent.
2. The room is scarce because it has alternative uses.
3. There is no scarcity if both activities are valuable.

Read the choices first.

# AP transfer: identify the scarce resource

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**Evidence**

The classroom is fixed and has alternative uses.

# AP transfer: identify the scarce resource

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**Answer: B**

The room cannot serve both uses at once.

# Exit ticket: state the causal chain

*Because _____ is limited, choosing _____ means giving up _____.*

# Exit ticket: state the causal chain

## Write one accurate causal sentence

Because _____ is limited, choosing _____ means giving up _____.

Use one scarce resource, one choice, and one foregone alternative.

# Exit ticket: state the causal chain

## Model answer

Because **classroom space** is limited, choosing **a tutoring center** means giving up **a rehearsal room**.

**scarce resource** $\longrightarrow$ **choice** $\longrightarrow$ **trade-off**